

## Bay Window 05 2024

### Originator: Spandana Sphoorty Financial Limited

June 17, 2025

| Instrument <sup>#</sup> | Amount<br>(₹ crore) <sup>@</sup> | Balance<br>Tenure<br>(months) <sup>*</sup> | Credit Enhancement (₹ crore) |                    | Rating <sup>1</sup> | Rating Action                       |
|-------------------------|----------------------------------|--------------------------------------------|------------------------------|--------------------|---------------------|-------------------------------------|
|                         |                                  |                                            | Cash<br>Collateral           | Over Collateral    |                     |                                     |
| Series A1 PTC           | 42.82                            | 7                                          | 7.90                         | 27.75 <sup>^</sup> | CARE A (SO)         | Downgraded<br>from CARE AA-<br>(SO) |

Details of instruments/facilities in Annexure-1

<sup>@</sup>After April 2025 payout.

<sup>\*</sup>Tenure/door-to-door maturity may change due to prepayments or changes in interest rates if any.

<sup>^</sup>Includes Overdue Principal worth ₹11.15 crore (18.77% of the balance pool POS)

<sup>#</sup>The PTCs are rated based on the timely payment of interest and payment of principal on or before the final legal maturity.

### Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has downgraded the rating of the Series A1 PTCs issued by Bay Window 05 2024, backed by microfinance loans receivables originated by Spandana Sphoorty Financial Limited (SSFL), to 'CARE A (SO)' [pronounced as Single A (Structured Obligation)].

The rating action is primarily based on the performance of underlying loans over past 11 months post-securitisation, and the observed increase in delinquencies. The rating continues to draw comfort from the robust legal structure, the well-defined payment mechanism, the build-up in cash collateral (CC) and over collateral (OC) – as a percentage of the balance amount of pass-through certificates (PTCs), subordination of excess interest spread (EIS), servicing capability, and overall performance of SSFL.

### Rating sensitivities: Factors likely to lead to rating actions

#### Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:

- Delinquencies (90+ days past due [DPD]) of less than 2% and the sustained high collection efficiency (cumulative collection efficiency of over 98%).

#### Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD) of over 15% and the sustained lower collection efficiency (cumulative collection efficiency of less than 85%).
- Deterioration in the credit profile of the originator.
- Utilisation of CC.
- Non-adherence to key transaction terms envisaged at the time of the rating.

### Analytical approach

The rating action is based on inter alia, observed & expected performance of pool, presence of credit enhancement, and adherence to the transaction structure.

### Detailed description of key rating drivers

#### Pool performance:

The pool has amortised by 62.64% in 11 months post-securitisation, with nil utilisation of CC. The pool has exhibited high delinquencies. As on April 30, 2025, overdue (OD) (as a percentage of the initial principal outstanding [POS]) is 7.06%. The credit enhancement (CE) available is sufficient to sustain ratings for the balance tenure.

| Pool summary (as of April 2025 payout)               |        |
|------------------------------------------------------|--------|
| Months post-securitisation                           | 11     |
| Pool amortisation                                    | 62.64% |
| 30+ delinquency (percentage of the initial pool POS) | 15.01% |

<sup>1</sup>Complete definition of ratings assigned are available at [www.careratings.com](http://www.careratings.com) and other CARE Ratings Limited's publications.

| Pool summary (as of April 2025 payout)               |        |
|------------------------------------------------------|--------|
| 90+ delinquency (percentage of the initial pool POS) | 11.42% |
| Overdue amount (percentage of the initial pool POS)  | 7.06%  |
| Cumulative CE [CCE]                                  | 89.93% |
| CC (percentage of the balance PTC POS)               | 18.45% |
| Cumulative prepayments                               | 8.39%  |

**Key strengths:**

- CC as a percentage of PTC POS is 18.45%, which remains unutilised.
- Well-defined payment mechanism and adherence to the transaction structure.

**Key weaknesses:**

- The 90+ DPD and OD in the pool are high at 11.42% and 7.06%, respectively (as percentage of initial pool POS).
- Weak borrower profile as this segment is susceptible to socio-political disruptions and other external shocks.

**Liquidity:** Adequate

The inherent liquidity in the structure is adequate. The interest payouts for Series A1 PTCs are promised monthly, while the principal of Series A1 PTC is promised to be paid on or before the final legal maturity. The investors in Series A1 PTC may expect principal repayment monthly per the agreed waterfall mechanism. In case of delinquency, the payouts are expected to be supported by CC (in the form of fixed deposits [FDs]), OC, and EIS.

**Key rating assumptions and adequacy of credit enhancement:**

CareEdge Ratings has analysed the transaction to assess whether the CE is sufficient to cover shortfalls. Since the transaction is sensitive to the credit quality of the underlying pool, CareEdge Ratings has analysed the performance of the pool and the overall portfolio performance of the originator. Considering the borrower profile and the nature of the loan, pool characteristics and portfolio performance, CareEdge Ratings has taken the average shortfall from 13.00% to 15.00% of the POS. The base case shortfalls were stressed along with other key factors such as the timing of shortfalls, the recovery assumptions, and the time to recovery. CareEdge Ratings has found that the CE provided is sufficient to cover shortfalls in a stress scenario commensurate with the assigned rating. The pool cash flow has been further adjusted for prepayments of underlying loans, assuming monthly prepayments in the range of 0.50%-1.00%.

**Key risks, concerns, and mitigants:**

The securitisation transaction involves several risks, including credit risk from borrower defaults, commingling risk due to time lags in fund deposits, prepayment risk from early principal repayments, servicer bankruptcy risk, legal risk regarding the validity of receivable transfers, and counterparty risk involving transaction parties. These risks are factored while assigning rating, wherever needed, and partially mitigated through credit enhancements, separate record-keeping, credit rating/profile of the originator, transaction structuring, true sale of receivables, legal opinion from independent legal counsel. The transaction structure also has provision to change counterparties, such as, trustee and banker, etc.

**Applicable criteria**

[Policy on Default Recognition](#)

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

**About the Originator / Servicer and industry****Industry classification**

| Macroeconomic indicator | Sector             | Industry | Basic industry |
|-------------------------|--------------------|----------|----------------|
| Financial services      | Financial services | Finance  | Securitisation |

SSFL was incorporated on March 10, 2003, under the provisions of the Companies Act, 1956 and was registered as on non-deposit accepting non-banking finance company (NBFC) with the Reserve Bank of India (RBI) and was classified as an NBFC-microfinance institution (MFI) effective April 13, 2015. The company is engaged in undertaking microfinance loans business in India in a joint liability group (JLG) and loan against property (LAP) lending model. The company provides micro loans with a tenure of 1-2 years to women borrowers from low-income households for income generation activities such as agriculture, handlooms & handicrafts, cattle rearing, cottage industries & micro entrepreneurial ventures such as tailoring, grocery stores among others, education, and healthcare. The company has two subsidiaries, Caspian Financial Services Limited (CFSL) and Criss Financial Limited (CFL). SSFL

is engaged in microfinance loan business for over 23 years and is an active player in securitisation/bilateral market and as of July 31, 2024, SSFL has 11 such live pools with initial size amounting to ₹1,709 crore.

### Key financial indicators - SSFL

| Brief financials       | FY23 (A) | FY24 (A) | FY25 (A) |
|------------------------|----------|----------|----------|
| Total income (₹ crore) | 1,394    | 2,387    | 2,245    |
| PAT (₹ crore)          | 12       | 468      | -957     |
| Total assets (₹ crore) | 9,186    | 12,870   | 8,008    |
| Net NPA (%)            | 0.58     | 0.29     | 0.96     |
| ROTA (%)               | 0.15     | 4.24     | -9.17    |

A: Audited; Note: these are latest financial results available

### Key terms of Servicer Contract:

The servicing agreement has covered role of the originator as the Collection and Payment Agent (CPA) for the special purpose vehicle (SPV) in managing collections from underlying borrowers, without informing them of the assignment. The Servicer (originator) follows its standard procedures for collections, including recovery actions, and ensures timely transfers of funds to the SPV under an M+1 payment structure. The trustee monitors the sufficiency of funds for investor payouts one day prior to payout date and utilises CC in case of shortfall. The Servicer is also submitting detailed reports on billing, collections (including prepayment), overdue amounts with aging thereof, cash flow schedules to the trustee and such other information as may be required by the trustee. The terms of the agreement have provisions for the appointment of an alternate servicer in case of servicer event of default.

**Status of non-cooperation with previous CRA:** Not applicable

**Any other information:** Nil

**Rating history for last three years:** Annexure-2

**Detailed explanation of covenants of rated instruments/facilities:** Annexure-3

**Complexity level of instruments rated:** Annexure-4

**Lender details:** Annexure-5

### Annexure-1: Details of instruments/facilities:

| Name of the Instrument    | ISIN | Date of Issuance (DD-MM-YYYY) | Coupon Rate (%) | Maturity Date (DD-MM-YYYY) | Size of the Issue (₹ crore) | Rating Assigned and Rating Outlook |
|---------------------------|------|-------------------------------|-----------------|----------------------------|-----------------------------|------------------------------------|
| Pass-through certificates | -    | 29-05-2024                    | 9.55            | 15-01-2026                 | 42.82                       | CARE A (SO)                        |

**Annexure-2: Rating history for last three years:**

| Sr. No. | Name of the Instrument/Bank Facilities | Current Ratings |                              |             | Rating History                              |                                                                                 |                                             |                                             |
|---------|----------------------------------------|-----------------|------------------------------|-------------|---------------------------------------------|---------------------------------------------------------------------------------|---------------------------------------------|---------------------------------------------|
|         |                                        | Type            | Amount Outstanding (₹ crore) | Rating      | Date(s) and Rating(s) assigned in 2025-2026 | Date(s) and Rating(s) assigned in 2024-2025                                     | Date(s) and Rating(s) assigned in 2023-2024 | Date(s) and Rating(s) assigned in 2022-2023 |
| 1       | Pass-through certificates              | LT              | 42.82                        | CARE A (SO) | -                                           | 1)CARE AA-(SO)<br>(12-Aug-24)<br><br>2)Provisional CARE AA- (SO)<br>(29-May-24) | -                                           | -                                           |

LT- Long term

**Annexure-3: Detailed explanation of covenants of rated instruments/facilities**

Not applicable

**Annexure-4: Complexity level of instruments rated**

| Sr. No. | Name of Instrument        | Complexity Level |
|---------|---------------------------|------------------|
| 1.      | Pass-through certificates | Highly complex   |

**Annexure-5: Lender details**

Not applicable

**Note on complexity levels of rated instruments:** CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

## Contact us

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